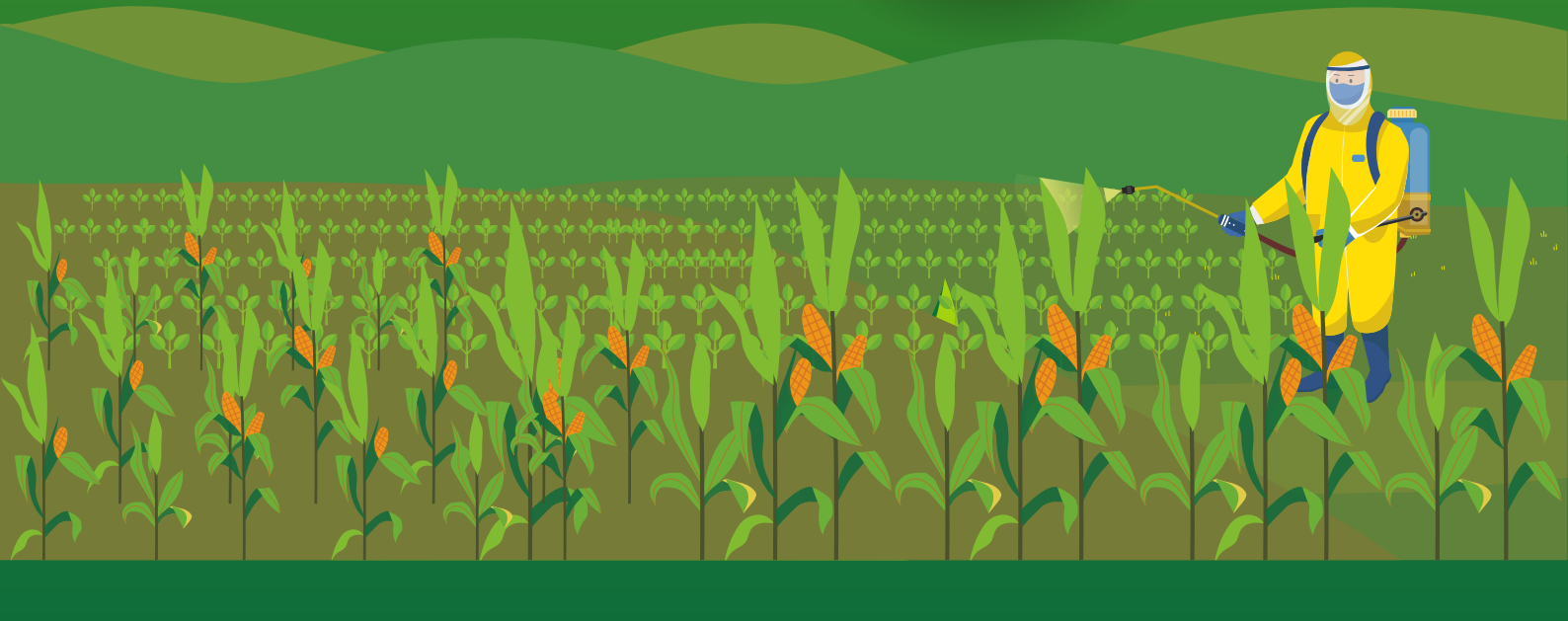
CropLife INDIA

PESTICIDE FORMULATION IMPORT

JUNE 2021

HOW IT HELPS INDIAN FARMERS AND MAKE IN INDIA





Certain sections of Indian industry has been making unsubstantiated and misleading claims with an agenda of proposing ban or discourage crop protection formulation imports.

CropLife India believes this topic needs to be looked at holistically and factually, and not with a narrow perspective, so that stakeholders in the service of Indian Agriculture are not misguided with motivated claims and narrow perceptions.

Agrochemicals have been chosen as one of the champion sectors. But how can India be a global hub without harmonizing with global policies and practices?

WITH THIS OBJECTIVE, THIS PAPER HAS BEEN DEVELOPED AND ITS CONTENTS INCLUDE:

- Global Agricultural Chemicals Market & Cost of Research
- Globally Integrated Supply Chain & India's Emerging Position
- Formulation Imports & Facts



GLOBAL AGRICULTURAL CHEMICALS MARKET & COST OF RESEARCH:

According to statistical data from Phillips McDougall, based on ex-factory levels, in 2019 the global crop protection chemicals market for crops posted sales of US$ 59.827 billion. In 2019 it represented a decline of 0.8% compared with the level of US$ 60.304 billion in 2018.

Phillips McDougall in 2016 had reported that cost of a new active ingredient's development has increased to US $286 million and on an average it required 159,574 compounds to be screened to discover one successful active ingredient compound candidate. On an average, it also takes 11.3 long years from first synthesis of a product to its first commercial sale.

Because of such tremendous increase in investments as well as very long gestation period required for commercialization of an innovative new chemistry crop protection Product, we are witnessing fewer and fewer innovations getting discovered.

Global companies are committed to research in India and we are seeing establishment of global innovation centers in our country over years. Today, Indian scientists working in these innovation centers are actively contributing to active ingredient research and enabling **"Discover in India for the World"**. There has been a sizeable investment in past decade in the country in such global R&D centers by innovative and global scale Crop Protection players.

GLOBALLY INTEGRATED SUPPLY CHAIN AND INDIA'S POSITION

Integrated supply chains are enabling efficient and agile production for the world, which includes building blocks, active ingredient and even formulation manufacturing. India has created its niche in this global value chain and many globally reputed Indian companies have pioneered this, and they have become an integrated part of global value chain, establishing India as a reliable place for manufacturing and a partner in new chemistry manufacturing in early phase of active ingredient manufacturing.

COVID-19 has initiated discussions across the world on diversified supply chains to ensure supply reliability. **At this backdrop, with the goodwill generated by reliable partners and pro-active policies, India is very well positioned to attract investments and expand its presence in this US$ 60 billion industry in big way.**

The role of India and Indian manufacturers is of immense value when we see our participation potential in the global manufacturing of key building blocks, novel active ingredients and even innovative formulations.

FORMULATION IMPORTS AND FACTS:

Global innovators are spending more than US $ 6 billion annually on research. As mentioned above, for global scale crop protection innovators, manufacturing is an integrated process, wherein innovation products are initially manufactured in selected global scale plants, including those in India, to cater the requirement for the world. These are then introduced in various geographies through imports and gradually the manufacturing is diversified depending on global supply lines. Hence Formulations Imports can't be looked in isolation and must be seen as part of a continuum in entire global value chain. India is emerging as key manufacturing locations for novel active ingredients and may gain massively in future in view of diversification strategies of global organizations, post COVID scenario.

It is, therefore, critical that artificial barriers and unpredictable policy regime (e.g. restriction on formulation imports and higher duties) are not created if Indian crop protection manufacturing sector is to take advantage of diversifying global supply chains.

Any measure to restrict formulation import or increase duties on it will not only impact availability of formulations, cost to the farmers but will also damage India's evolving position as an attractive destination for manufacturing building blocks, active ingredient and novel formulations not just for India but for the World. Any propaganda targeted to showcase Formulation Import as detrimental to the country is, in fact, a misperception at best and a fabricated lie at worst.

Stifling formulation imports will mean starving the Indian agriculture of novel, safer, new age, innovative products and depending more and more on older chemistries. Any such step would create artificial barrier which would not only delay introduction of innovative crop protection products harming interest of Indian farmers but also isolate Indian Agrochemical sector negating the advances made by crop protection in expanding their share in global supply chain.

Each imported formulation is unique because it contains either a new-for-India molecule; or a new molecule formulated in combination with an already registered molecule; or is a combination of two registered molecules; but each formulation offers a new product for the farmer. Treating all formulations as a commodity like cement or steel or coal is therefore unscientific and untenable.



FACTS SUPPORTING FORMULATION IMPORT REGISTRATIONS

1. Formulation imports supports introduction of new molecules and helps in combating resistance and new invasive pests

2. Formulation import of new for India single molecules or their different combinations helps in improving the competitiveness of our agricultural produce internationally

3. Some of the formulations requires dedicated facilities to avoid cross contamination which limits the Formulation Import registrant to put facilities across the world

4. The argument that formulation capacity in India are not fully utilized is flawed: foreign companies by no means shall outsource formulation due to available capacity

5. Complete safety data for Technical as well as formulation are submitted by the applicant and concerns of people asking for banning formulation imports are unfounded and baseless

6. Latest regulatory guidelines allow domestic manufacturers to produce the Technical and Formulation against Formulation Import registration indigenously under relax data requirement and negligible cost. Insisting for simultaneous registration of Technical on the ground of safety is a baseless argument

7. Restriction in Formulation Import will dampen GOI Make in India Initiative. New Product will not be available for Indigenous manufacturing as guidelines are available to register new Product under TIM Vs FI immediately after grant of FI registration

8. The argument that poor quality technical is being used for Formulation Import overlooks that fact that the exporters are required to meet both importing and exporting country regulatory requirements. The Formulation Import registrant cannot risk his investment in registration costs by supplying inferior product. These contentions do not have any factual basis

9. If any restriction in Formulation import is imposed, India will be deprived of safer and newer formulation for the benefit of Indian farmers



HOW WILL FORMULATION IMPORTS SUPPORT MAKE IN INDIA

1. CropLife India supports the Government of India initiatives for Atmanirbhar Bharat and Make in India.



2. Replacing imports by promoting indigenous manufacturing will take time and needs to be taken in a well-planned calibrated manner.

3. Majority of formulation imports pertain to specialty category, which are either not available in India (at the time of first registration) or for which requisite raw materials, technology etc are not available in the country. They all are innovative, newer products meant for testing and establishing a solution in the market, based on local research done to support local farmers' unmet needs.

4. The changing pest and cropping patters as well as the impact of climate change do need newer and better pesticide products; and our experience suggests the quickest way to introduce latest technology and explore their market acceptance is by first registering formulation only for imports.

5. Once these solutions get adopted by the farmers, the local manufacturing is commenced for long term objective and to support Make in India concept. Formulations Imports are then converted to the manufacture of formulation and then to manufacturing of the technical in India.

6. Current registration guidelines do allow registration of the technical for local manufacturing based on the formulation import registration. Generic players can rely upon embedded technical dossier/data submitted along with Formulation import, to obtain TIM & FIM vs FI, registrations in significantly lesser timeframe with very low quantum of data/information and negligible investments.

7. Restricting formulation import will not serve any purpose, given the insignificant amount of ₹88 crores of value addition on formulations imports; vis a vis its importance for bringing new technology for Indian farmers.

8. In fact any hurried decision to increase in custom duty on formulations, or their ban, will send the wrong signal about India's unstable and changing polices which discourages both indigenous and foreign investment in this sector. Would it be in the interest of Indian exporters if as a counter, Indian formulation exports are banned or restricted by importing Countries?

A WORD ABOUT TECHNICAL IMPORTS

Imports of over ₹ 3000 crores worth of technical pesticides from China take place every year, for which 100's of registrations have been granted for the indigenous manufacturing of technical pesticides for some key products e.g. Acephate, Imidacloprid, and Paraquat dichloride, Glyphosate, Buprofezin and Cartap Hydrochloride

China manufacturers are regulating the price of key intermediates to be used in manufacturing of these technicals in India so as to encourage exporting final product to India rather than supplying intermediates.

Government of India should look into the capacity to produce key intermediates in India so that final product can be manufactured in India and if required provide Production linked incentive to domestic manufacturers to be internationally cost competitive.

The loss of foreign exchange and the uncertainty of supplies concerning intermediates and technicals affecting Atmanirbhar Bharat is extremely significant against the insignificant amount of ₹ 88 crores of value addition on formulations imports.



CONCLUSIONS

Manufacturing of agrochemicals is a continuum and should not be divided into manufacturing of Technical and Formulations, as both bring investment as well as create jobs. At a time when there is a serious global move to diversify supply chains and India being one of the beneficiaries, this move to distinguish Technical & Formulations into two distinct categories and enhance custom duties on formulations would not be in Indian interests.

We cannot have dual policy of ban of formulations in India, yet promote formulations export. If we have to become a global hub for supplies, Indian regulatory processes must comply with the global regulatory ecosystem.

Lastly, India is called the "pharmacy of the world" and exports pharma formulations worth billions of dollars. Yet, imports of drug formulations of medicines/probiotics is freely allowed and at the same rate of customs duty. So it would be unjustified to deny newer products and chemistries that are so urgently needed by our farmers for the health of their crops.

The above amply clarifies that the proposed move to ban, or double import duty on formulated pesticides, or to insist on compulsory technical registration before formulation import is - anti-science, anti-innovation, anti-farmer and beyond the sound national interests. Such a move must be nipped in the bud itself, before it damages the sustainability of Indian farmers. This will also damage India's evolving position as an attractive destination for manufacturing building blocks, active ingredient and even formulations not just for India but for the World.

OUR PROPOSAL IS AS FOLLOWS:

1. **Maintain status quo for import policy:** Any proposed move to ban, or double import duty on formulated pesticides, or to insist on compulsory technical registration before formulation import is against innovation and against offering larger plant protection choices to the farmers.

2. **Same import duty for Formulation and Technical Imports:** We request that any proposal to tax formulations at a higher rate must not be implemented and the same import duty (i.e.10%) should therefore be continued for both Formulation Imports and Technical Import.

3. **Do Not stifle Formulation Import:** Further the idea of banning formulation- only imports should also be done away with. Stifling formulation imports will mean depriving the Indian agriculture of novel, safer, new age, innovative products and depending more and more on older chemistries. Any such step would also create artificial barrier which would also isolate Indian Agrochemical sector. Would India be happy if as a counter Indian formulation exports are banned by importing Countries?

Any major policy initiative must focus on the interest and benefit of the user/consumer i.e., the farmers and agriculture and the nation; and must be over and above the interests of any sections of the Industry.

MYTHS, REALITIES AND QUESTIONS ANSWERED

We have also enclosed more details below to address some of the myths spread by few vested interests who would like to create artificial protectionist barriers and do not want India to be a part of global supply chain.

MYTHS	REALITY
1 That registering the technical with its formulation is compulsory under the Insecticides Act.	Neither the MoA&FW nor the CIB&RC, who have allowed formulations - only imports for last 20 years, have found any irregularity in the process of formulation import approvals. We categorically state that there is no clause under the Insecticide Act,1968 which mandates registration of both formulations and technical together. However, this is neither the relevant nor the real issue. The relevant and real issue is how and why banning formulation imports will benefit the Indian farmers or the industry, as it would delay introduction of innovative crop protection products to the Indian farmers and industry.
2 That formulation for imports are being registered by CIB&RC without obtaining and verifying the safety data of its technical.	All relevant safety data has to be provided for the technical used in the imported formulation and their regulatory dossiers run into over 15/18,000 pages for the technical of which formulation is sought to be registered for import. The Registration Committee satisfies itself with comprehensive and satisfactory data on the entire toxicology, chemistry, bio-efficacy, packaging, shelf-life, residues, etc. for both formulation and technical, before granting any registration for any product under Sec 9(3) of the Insecticides Act,1968. The issue of safety, therefore, is not germane to the issue under discussion.
3 That every country insists to register the technical along with its formulations, hence the same practice be followed in India.	Many countries such as Japan, New Zealand, Korea, Malaysia, Singapore, Thailand, Philippines, Cambodia etc. register formulations only, without registering technical. It is just a question of procedure and doesn't address the merit of the issue.
4 That local investment in formulations is suffering due to import of formulations.	No such data exists in support of such claim. On the contrary, the reply given by the Agriculture Minister to parliamentary question on 15th September, 2020, mentions that 2403 manufacturing licences have been issued by various State Licensing Officers for formulations manufacturing in the country.

MYTHS	REALITY
5 That very old molecules are being registered for formulation imports	Contrary to the allegations, many of the readymade formulations being imported are based on patented technical in them, as also several of them are by themselves patented as combination formulations; so how can they be called old molecules. In any case, these formulations (with new molecules) are new for India and provide the farmers with better and safer crop protection chemicals. Also these products are far "newer" than more than 40 molecules which have been in use in India for more than 50-55 years.
6 That molecule discoverers by obtaining formulations import registration wish to avoid investing in India.	Innovators spend anywhere between ₹30 to 50 crores over a 5 to 7 year period, in India, to first generate data, obtain registrations, and then spend on market development, farmer training, product publicity, field work and demonstrations apart from training scores of farmers on safe and judicious use of the product as a part of product stewardship. Around 110 formulations imports products have been registered by CIB & RC, bringing in an investment of ₹ 3300 to 5500 crores with employment to thousands of field staff. State Agri Universities and Indian Labs get benefitted by undertaking work on field trials and data generation required for registrations which helps build India's scientific eco-system. Once such newly introduced molecule gains a reasonable market presence then its manufacturing activity follows in many cases, either directly or through contract manufacturing by local manufacturers. Formulations Imports are then converted to the manufacture of formulation and then to manufacturing of the technical in India. This is a process of gradual progression in the global supply chain continuum. There are many such examples That is how the Indian manufacturing facilities, mentioned earlier, have not only become the hub of Global Sourcing but are also continuously expanding its foot-print. While around 120 formulations have been registered for imports, only about 30-35 of them account for 80% of the total import. This shows that not all the formulations introduced have become commercially successful. Hence there is all the more reason to allow formulations-only imports to enable the registrant to take the financial risk for registration and stewardship and test the market; before local production is commercially viable.

MYTHS	REALITY
7 That there is no way to verify whether the Formulation Import registrant is using the date expired technical in the formulation being exported to India!	Surely, a registrant who spends crores of rupees to register the formulation only import, shall not take the risk to import sub-standard product, which in turn would commercially fail in the Indian market! Also, only the top companies having strong credentials in India for decades undertake imports. Hence, such baseless allegation deserves to be outrightly rejected. It is also pertinent to note that the manufacturing of pesticide products are also well regulated / governed by stringent laws of the source country, thereby giving no scope for the manufacturers to defy the regulations.
8 That Indian Companies cannot take Me Too registrations for the Technical, unless the molecule discoverer registers the Technical for the first time in India.	As a matter of fact, no law prevents any Indian Company to register any Technical by submitting the required data and obtain registration. The only reason why some of the proponents want to insist for Technical registration along with its Formulation is that the "Me Too" registrant can get their registrations at a fraction of the costs incurred by the first registrant who has to submit a huge amount of data at substantial cost. Hence, if simultaneous Technical registration is insisted upon, the "Me Too" registrant can take a free ride both on the data and on the market developed by the first registrant. CropLife India considers this practice grossly unfair and against the principle of level playing field. Registration Committee has also framed guidelines for registering molecules under TIM V/S FI category with relaxed data requirement so that indigenous manufacturers can take advantage of data submitted for Technical that is embedded in the formulation import registration. The RC by these guidelines has given all the opportunity for the "Me too" registrant to take the advantage and seeking to register the technical. We wish to reiterate that this very idea to discontinue/ discourage the registration and imports of readymade formulated pesticide is to confuse the policy makers so that the introduction of newer, better and safer chemistries can be prevented which is against the interests of the farmers as also to take a free ride as mentioned above.

QUESTIONS CONCERNING FORMULATIONS IMPORTS- FACTS

Question -1

Is there any financial, economic or technical reasons supporting ban or restricting imports on formulated pesticides :

a) **Are generic products being imported under 'formulated pesticides' category?** Majority of formulation imports pertain to specialty category, which are either not available in India (at the time of first registration) or for which requisite Raw materials, technology etc are not available in the country. They all are innovative, newer products meant for testing and establishing a solution in the market, based on local research done to support local farmers' unmet needs.

b) **Will there be significant Value addition by continuing with status quo:** The alleged loss of value addition is false and misleading. In calendar year 2019 as per the import data statistics, only around 11,000 metric tonnes of Formulation Imports took place at a CIF value of around Rs.1800 crores. The formulation value addition to technical product is generally about Rs. 80,000 per tonne. Hence, the so-called "loss of value addition" in terms of indigenous value is only around Rs.88 crores - an **insignificant amount** in a Rs. 45,000 crore industry. A misleading issue is being made out.

c) **Are Chinese imports of formulated pesticides flooding the market:** None of the Formulated pesticide is Imported from China. They are all 'new to India' molecules, being introduced by Companies based out of USA/EU & Japan.

Question -2

Are farmers being overcharged through formulated imports?

It must be highlighted here that such importers (the R&D based Innovation companies) invest anything between Rs. 40 to 50 crores to first register and then market their new formulation product in a hugely diverse country like India. Hence, they are conscious that any non-competitive pricing could sink their investment altogether. Moreover, significant part of profits are ploughed back into R&D for newer inventions to bring safer & more efficacious products to benefit farmers. Further, the 21st century Indian farmers are sagacious enough to decide what products are commercially viable for them. They critically evaluate each product on the 'price to value proposition' test before deciding to buy or reject any product(s). Any outpriced product is thrown out of the market by them. It must be appreciated that the issue of competitiveness is best adjudged by the seller and buyer only.



Question -3

Do imported formulated pesticides create a monopoly?

A canard is being created that some imported formulation are a monopoly. Let those making such false statements submit the list of such products to counter the same. Every imported formulation has several duly registered alternative molecules in the market for the user/farmer. **More so, Formulation Imports (FI) of new chemistries rather promote Make in India as Generic players rely upon embedded technical dossier/data submitted along with Formulation import, to obtain TIM & FIM vs FI, registrations in significantly lesser timeframe with very low quantum of data/information and negligible investments.**

Question -4

Would allowing Technical Pesticides' import alone change the position?

There is insistence by certain sections that only Technical grade pesticides be allowed to be imported. But if the logic to discourage formulations imports by higher duty is due to lack of local value addition, then even technical pesticide imports should be discouraged all the more, because the value addition in Technical manufacturing will be huge and far higher compared to formulations. Undoubtedly, this will mean fewer new competitive molecules, which will push the prices of the old molecule harming the interests of the farmers.

Question -5

Is the custom duty hike going to be beneficial for Indian farmers?

It is unfortunate that in the name of 'Make in India' and 'Atmanirbhar Bharat', a certain vested interests are advocating for erecting artificial barriers which would actually **work against the interest of the farmers,** by making it difficult for the farmers to access newer crop protection technologies.

Most of the agrochemical formulations are imported for the following reasons:

a) Where there are no existing formulations facilities available in the country for the product type

b) As part of integrated manufacturing process, the manufacturing is done in global scale plants to cater the global requirements including India

c) Where the technical grade anyways has to be imported as it is not manufactured in the country

d) Where the relevant adjuvants needed to formulate are not available/readily available in India

e) The existing volumes are so low that it makes no sense to formulate them in India. As an when the volumes of their innovative products reaches a sustainable level, the formulations can be undertaken in India with the required investments

f) Where the innovator wishes to safeguard its unique formulation technology in the absence of a strong IP protection regime in the country

g) Where the performance of the product is largely dependent on the appropriate formulation process and to avoid potential performance issues (such as herbicides)

h) Many of the imported formulation combination products are themselves patented as also some of these have patented technical active ingredients in them

Majority of the pesticides formulations that are being imported are based on newer, safer and better chemistries; and provide farmers with a whole new range of products for fighting the newer challenges posed by pests and diseases. This is how the newer products will continue to be introduced in the country. Hence discouraging formulation import will mean cutting down farmers' choices and render them helpless against new diseases and pests.

As such imported formulations largely pertain to new molecules that lend better sustainability, pesticides' resistance management, environmental fate and safety to the users. The changing pest and cropping patters as well as the impact of climate change do need newer and better pesticide products; and the quickest way to introduce and explore their market acceptance is by first registering formulation only for imports as the same custom duty which is applicable for technicals.

This will also be conducive for domestic and exported food chain, who are increasingly demanding low pesticide residues and application of safer chemistries.

Taxing them at higher rates or banning their imports will discourage introduction of newer chemistries, leading to loss of viable newer options at the hands of the farmers.

Question -6

How will formulation import lead to make in India in the long run?:

Historically, all the new technologies/innovations have been introduced in the country through import of Technical or formulated products. Once these solutions get adopted by the farmers, the local manufacturing is commenced for long term objective and to support Make in India concept. Moreover, the registration guidelines do allow registration of the technical for local manufacturing based on the formulation import registration.

Agrochemicals have been chosen as one of the champion sectors. But how can India be a global hub without harmonizing with global policies and practices? Any hurried decision to increase in custom duty on formulations, or their ban, will send the wrong signal about India's unstable and changing polices which discourages both indigenous and foreign investment in this sector.



ABOUT CROPLIFE INDIA

CropLife India is committed to advancing sustainable agriculture and it is an association of 15 R&D driven member companies in crop protection. They jointly represent ~ 70% of the market and are responsible for 95% of the molecules introduced in the country. Our member companies have annual global R & D spend of 6 billion USD and are firmly committed to engaging with the farming community across the World to enable Safe & Secure Food Supply.

CropLife India members enable farmers adopt new technologies in agriculture, while providing in depth farmer trainings on good farming practices, including responsible use of crop protection products, container management, spraying techniques, promotion of safe, responsible & judicious use of crop protection products under Integrated Pest Management approach. CropLife India extensively engages with the farming community including dealers and traders for growing safe, secured and nutritious food committed to responsible crop care and crop production for sustainable development of Indian Agriculture.

CropLife India is NOT FOR PROFIT organization pursuant to Section 8 of the Companies Act, 2013 wholly funded by membership. CropLife India is part of the CropLife International Network; and works closely with CropLife Asia & CropLife International, spread across 91 countries while engaging with diverse stakeholders to drive programs on Anti-Counterfeiting, Product Stewardship, Progressive Regulations, IPR/Data Protection, Policy & Advocacy, Communications & Outreach.



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WE CONGRATULATE YOU

FOR YOUR EFFORT IN PRODUCING BUMPER CROP EVEN DURING PANDEMIC.

CropLife INDIA

DEFEAT COVID 19
Get vaccinated along with your family.
Be safe and keep safe.



Dos and Don't of COVID 19 Awareness Programme

- Use Double mask
- Keep safe distance
- Stay home
- Buy only registered pesticides with proper bill and always read the label before use
- Transport and store pesticides safely away from people, food and animals
- Maintain social distancing in the fields. Cover your mouth with masks or a clean cloth
- Wear proper Personal Protective Equipment while spraying
- Practice personal hygiene while handling pesticides
- Triple rinse empty containers and properly dispose them off
- Frequently wash your hands with soap & water
- In case of accidental exposure to chemicals, seek medical advice immediately

Follow Govt. Instructions regularly

www.croplifeindia.org

CropLife INDIA

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